

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

NIKON MANUFACTURING, INC., *Claimant*

v.

MSC MEDITERRANEAN SHIPPING COMPANY, *Respondent*.

DOCKET NO. 1989(I)

Served: March 28, 2023

BEFORE: Theresa DIKE, *Small Claims Officer*.

ORDER APPROVING CONFIDENTIAL SETTLEMENT AND DISMISSING PROCEEDING

On February 14, 2023, the Secretary of the Federal Maritime Commission (“FMC” or “Commission”) issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), indicating that Claimant Nikon Manufacturing, Inc. (“Nikon”) had filed an informal complaint against MSC Mediterranean Shipping Company (“MSC”). Nikon alleges that demurrage charges totaling \$8323.50 that MSC imposed on Claimant’s containers at the Port of Everglades, Florida fail to comply with the provisions of the Commission’s Rules at 46 C.F.R. § 545.5(c)(2)(iv) related to the imposition of demurrage and detention charges.

The Secretary instructed MSC to file a response to the Claim by March 13, 2023, and to indicate whether it consents to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305). The Secretary also assigned the proceeding to the Chief Administrative Law Judge to designate a Small Claims Officer to adjudicate the proceeding.

MSC was granted an extension of time until March 27, 2023, to file its response to the Claim. On March 17, 2023, Claimant filed a motion to dismiss its complaint and a settlement agreement signed by the parties. Respondent has not yet filed a response to the Claim and did not object to the adjudication of this Claim under the informal procedures. Accordingly, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication under the Commission’s informal procedures on March 28, 2023.

Complainant seeks to withdraw its claim against Respondent based on a settlement agreement between the parties resolving their dispute. Pursuant to the Commission’s Rule 72(a)(3):

[A]n action may be dismissed at the complainant’s request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is

based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's regulations allow settlements by litigating parties, however the Commission requires that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maier Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Maier Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a "proffered settlement does not appear to violate any law or policy and is free of fraud duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Id.* At 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

The parties state that the Settlement Agreement is "deemed mutually just and appropriate" by them and that "the amount or value of the consideration exchanged pursuant to this Settlement Agreement is the result of negotiation based on the Parties' evaluation of the risks and costs associated with litigation." Settlement Agreement at 2. Claimant states that in entering into this settlement agreement it "relied on upon all necessary advice, including from its own attorneys and that the terms of this Settlement Agreement have been completely read and explained to it by its advisors and/or attorneys, and that those terms are fully understood and voluntarily accepted by it." Settlement Agreement at 2.

A review of the settlement agreement, which is signed by both parties, does not show any indicia of fraud, duress, undue influence, or mistake and appears to reflect an arm's-length resolution between the parties. The terms appear to be fair, reasonable, and adequate. Accordingly, the parties' settlement agreement is approved, and this proceeding dismissed.

Although the parties did not explicitly request confidentiality, the Settlement Agreement is titled as a “Confidential Settlement Agreement and Release” and “[e]ach party “acknowledges the confidential nature of the existence and terms and conditions of this Settlement Agreement” and hold each other responsible for any breach of the confidential information in the Settlement Agreement. Settlement Agreement at 1-2. It is thus presumed that the parties are seeking confidentiality for their agreement. “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted); *Marine Dynamics v. R.T.M Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991). The parties’ implied request to keep their settlement agreement terms confidential is reasonable and thus granted.

Upon consideration of the proposed settlement and Claimant’s motion to dismiss its Claim, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that the request for confidentiality be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.



Theresa Dike
Small Claims Officer